CULTURAL STEREOTYPES OF MULTINATIONAL BANKS

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Abstract
Cultural trust biases (i.e., stereotypes) play an important role in shaping multinational banks' cross-border exposures. Exploiting a unique identification strategy and combining European regulatory data on banks' sovereign debt portfolios with existing and new surveys across 30 European countries, we show that multinational banks are more likely to lend to the government of a country when the residents of the countries where they operate exhibit more trust in the residents of that country. This result is robust to saturating our models with time-varying fixed effects at bank and country-pair levels, controlling for financial, informational, political and cultural linkages, and instrumenting trust via genetic and somatic similarities. Bank-level trust similarly drives corporate lending across borders and tilts banks' sovereign portfolios toward long-term maturities. Its role is amplified when governments are hit by salience shocks such as Eurozone crises and the Brexit referendum. As potential transmission channels of stereotypes from foreign bank branches to headquarters, we provide evidence consistent with culturally biased communication and internal transfers of human capital. (JEL: F34, G11, G21, G41, M14, Z10)

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Teaching Slides

A set of Teaching Slides to accompany this article is available online as Supplementary Data.

1. Introduction

Bilateral trust—the trust placed by residents of one country in the residents of another—has been shown to importantly influence international trade, foreign direct investment, portfolio allocations, and venture capital investment across countries (see, e.g., Guiso, Sapienza, and Zingales 2009). In this paper, we show that trust biases (i.e., stereotypes) also shape multinational banks' cross-border investments .[1]

We combine regulatory data on banks' investments in European sovereign debt with survey data on how much residents of European nations trust one another. By exploiting branch networks, we construct bank-specific measures of trust that differ across target countries of potential investment. This enables us to abstract from potential confounders at the country and bank levels.

As our focus is on variation across banks headquartered in the same home country facing the same target country of investment at the same point in time, we have a more convincing identification strategy than earlier studies of the impact of trust. We are also the first to systematically study how cultural trust stereotypes may play out in markets for government bonds. Since these are generally considered as the safest asset category, it is unlikely that our results are driven by differences in rational risk perceptions across banks. We further document the mechanisms through which cultural biases may spread from foreign bank branches to headquarters via internal communication and human capital transfers within banks. Last but not least, by conducting a new online survey of bilateral trust in 30 European countries, we update and expand the measures in this literature that has relied exclusively on historic Eurobarometer surveys of bilateral trust.

Specifically, we find that when the residents of the countries where a multinational bank operates exhibit higher trust in the residents of another country, a bank is more likely to hold sovereign claims on that other country. This relationship holds for

1. In using the term "trust bias", we follow the recent literature that focuses on how citizens of a country view the citizens of another in terms of their trustworthiness (Pursiainen, 2022). In popular usage, the term "bias" or "stereotype" has negative connotations; it is seen as indicating an unfair or irrational prejudice for or (more typically) against someone or something. One could argue that trust might instead be a rational phenomenon if the trustee can optimally differentiate between different trustors in a way that justifies the initial trust or lack of it (Guiso and Makarin, 2020). While this could be the case for various types of exchanges across countries, such as trade or foreign direct investments, it is unlikely that the trustees in our setting (i.e., sovereigns) can reciprocate by differentiating their debt repayment behavior across different trustors (i.e., banks) in response to initial levels of trust. This is even less likely to be the case if those compared banks are all headquartered in the same foreign country, as will be explained in our identification strategy later. Throughout the rest of the text, we interchangeably use the terms "trust biases" and "stereotypes". See Online Appendix G for further discussion.

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whether a bank holds any bonds of the country in question and, alternatively, for a continuous measure of the value of bonds held by the bank. We present evidence for both a communication channel and a human capital channel of cultural transmission within banks. Our results are consistent with local branch managers' tendency to communicate *biased* information up a bank's hierarchy and with banks' tendency to hire *internally* across borders for high-level managerial positions. To our knowledge, this is the first systematic evidence of the transmission of cultural biases via banks' branch networks.

Previous studies have utilized survey data aggregated to the country level. The limitation of such country-level evidence is that average levels of trust are almost certainly correlated with unobserved characteristics of country pairs, which creates an empirical challenge that the previous literature has long been aware of.[2] To rule out such latent factors, we construct a bank-specific measure of trust. Our main analysis thus focuses on banks operating in and lending to multiple countries. It assigns to bank branches operating in a country that country's trust biases toward other countries. We aggregate this measure to the bank level by calculating a weighted average, where weights are the share of host-country branches in the network of the multinational bank. We do this for each target country, across which host-country trust biases differ. Our measure of bank-level trust biases is therefore specific to both the bank and target country of potential investment.

When a bank has more positive cultural trust bias toward a target country, it is more likely to hold its sovereign debt. The relationship has been stable for more than a decade. It is economically important: a one standard deviation rise in bank-level trust bias increases the probability of investing in a target country by 14%. For a bank that would otherwise, following the dictates of capital-asset pricing theory, hold the market portfolio of sovereign bonds, this accounts for one-third of the observed diversification gap of 42% in our sample.

Our findings hold for alternative definitions of trust and obtain for both large and small banks. Placebo tests confirm that they are not mechanically created by the properties of our empirical setting. They are not driven by domestic (i.e., home-country) exposures, exchange rate fluctuations, observations for relatively weak sovereigns, or banks headquartered there. Cultural stereotypes based on the geography of bank branches are not picking up the direct influence of branches on sovereign debt investments.[3] Our results are not driven by the heterogeneity in local supervision of

2. In one of the first quantitative studies of cultural distance and cross-border firm outcomes, Kogut and Singh (1988) conclude: "Unquestionably a scale measuring the cultural characteristics at the firm level would be preferable. Yet, the collection of such data appears formidable at this time" (p. 427).

3. The existence of branches in a country may contribute to more bank lending to the government of that country insofar as bank branches are a mechanism for information acquisition and dissemination within the bank (Portes and Rey, 2005; Saka, 2020). A bank with more branches in a country may have more information about that country, encouraging it to assume additional exposure. Our results are intact when we parametrically control for branch penetration in linear and nonlinear ways and, more conservatively, when we focus only on foreign target countries where none of the compared banks has branch presence. Also related is Burchardi, Chaney, and Hassan (2019), who show that firms in a given US county are more

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these banks; if anything, the relevant estimates are larger when limiting the sample to banks subject to the European Central Bank's Single Supervisory Mechanism (SSM). By controlling for a large vector of characteristics at the bank–target-country level, we rule out the possibility that our bank-level measure of trust is picking up other financial, informational, political, geographical, and institutional linkages between banks and target countries. Our results carry over when we instrument trust with the standard measures of genetic and somatic similarities between nations. Trust remains significant even when we control for cultural distance. This justifies the presumption that trust biases also have a *distinct* and *direct* relationship with cross-border exposures that cannot be fully captured by cultural proximity between banks and sovereigns.

In our baseline results, we use Eurobarometer data on bilateral trust of the residents of 15 European countries in 1996. That this same dataset is used by previous investigators facilitates comparisons. But we also conduct, expressly for this paper, a new nationally representative survey of the residents of 30 European countries in 2022. Responses to the two surveys conducted a quarter of a century apart are strongly correlated, consistent with the presumption that trust depends on deep-seated cultural factors that result in strong persistence. Conducting this new survey enabled us to gather responses for additional 15 European countries, raising the total to 30. Reassuringly, results carry over to this expanded sample, confirming the external validity of our findings.

One may question whether cultural stereotypes in banks' sovereign lending decisions also apply to other cross-country credit exposures. To address this, we collected cross-border corporate sector exposures disclosed by European Banking Authority (EBA). We again find a positive relationship between bank-specific trust toward a target country and bank lending to its corporations. This is consistent with evidence in Giannetti and Yafeh (2012) and Hagendorff, Lim, and Nguyen (2023), who document how culture plays a role in the syndicated loan market. This result again supports the external validity of our bank-specific measure of trust and illustrates its applicability to other settings.

In the penultimate section, we rationalize our bank-level measure of cultural trust using a framework of banks as hierarchies. In this framework, cultural stereotypes shape the soft information communicated by subordinates up the hierarchy to headquarters, where the broad parameters guiding portfolio investment decisions are set. Although we cannot directly observe confidential information sharing between bank branches and headquarters, we employ the global dataset on earning call sentiments of Hassan et al. (2024) to document a positive and significant correlation

likely to engage in direct investment in a foreign country when a larger share of county residents have ancestral roots in that country, a result they attribute to reductions in information frictions by illustrating that the same ancestral roots also predict Google searches related to that country. Here, we use two informational proxies regarding traditional media and social media derived from newspaper coverage in Factiva and friendship connections on Facebook (more appropriate to our setting; see Guiso et al., 2009; Pursiainen, 2022) to illustrate that such informational flows between countries do not drive our results.

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